Generative AI's Act Two: From Technology Hammer to Real Value

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Six Decades of Technological Progress Converged to Enable AI

6

Decades

of Moore's Law

Delivered the compute

4

Decades

of the Internet

Produced trillions of tokens of

2

Decades

of Mobile & Cloud

Put a supercomputer in every

GenAI Startups Surpassed $1B Revenue Faster Than SaaS Ever Did

$1B+

Startup revenue in months, not years

ChatGPT

Fastest-growing application in history

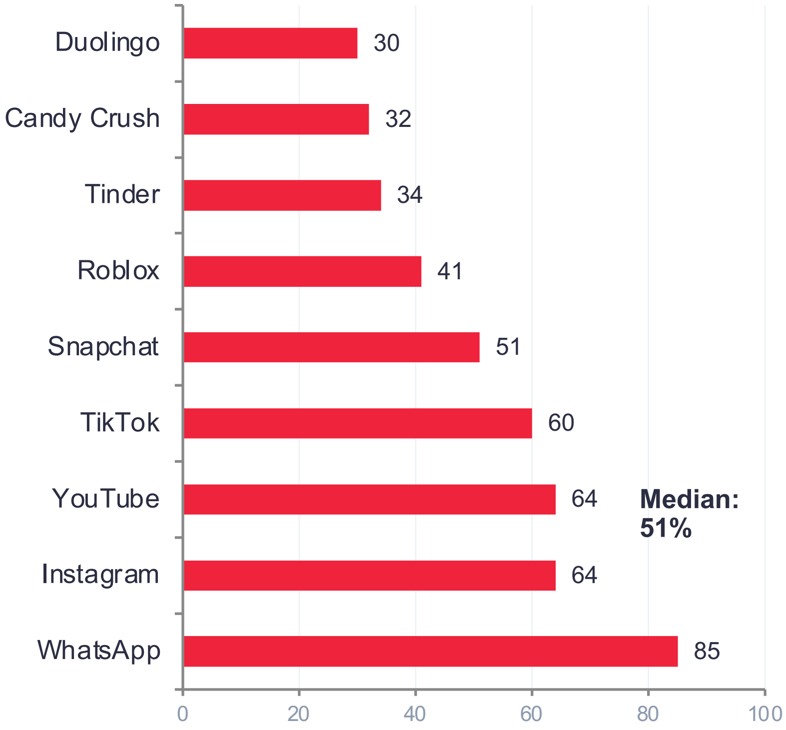
Midjourney

Hundreds of millions in revenue with 11 employees

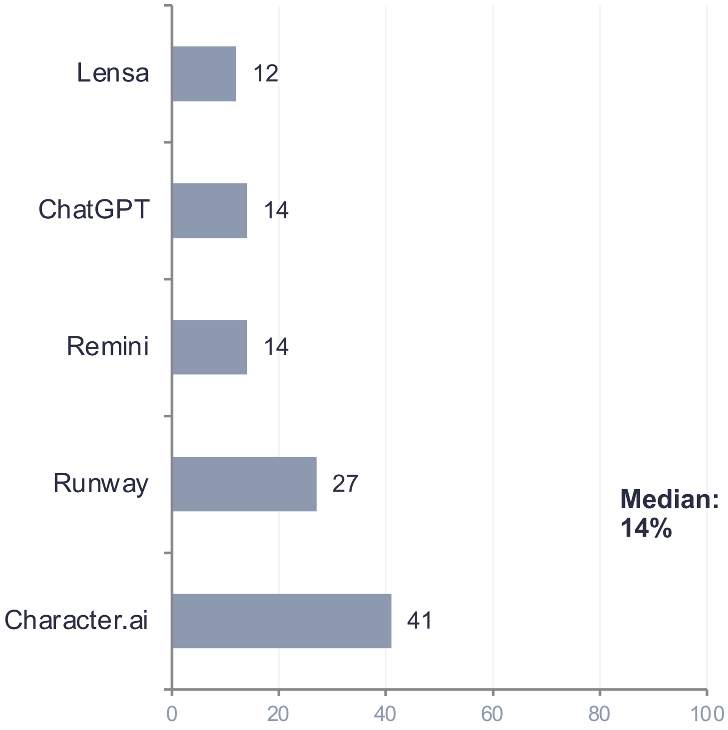
Character.ai

2-hour average session time

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

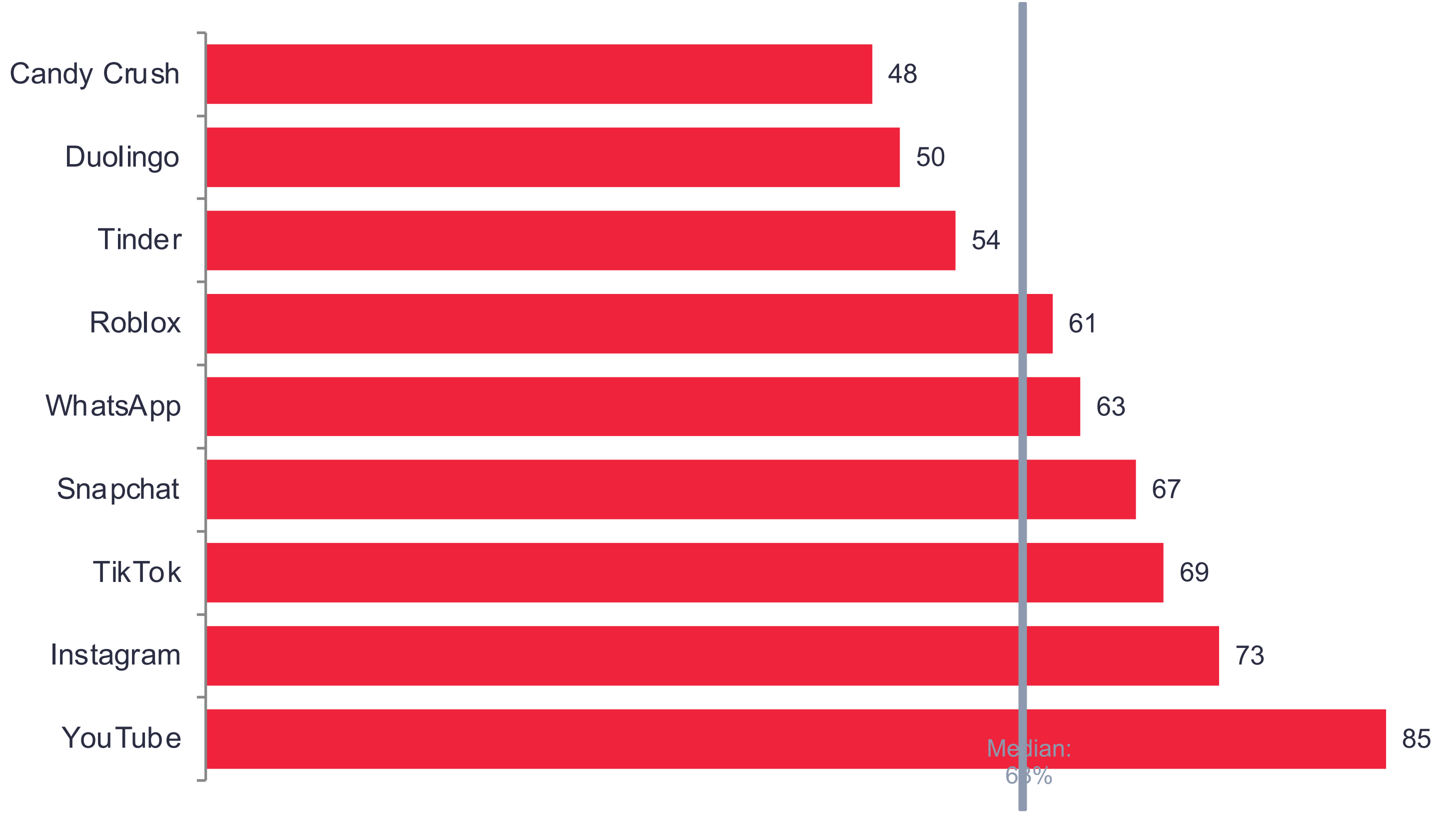


Incumbent Apps



AI-First Companies

YouTube Leads Incumbents at 85% Monthly Active Usage



Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1

- Foundation models as entire solution
- Novelty demos
- Lightweight wrappers
- Poor retention

Technology-Out

Act 2

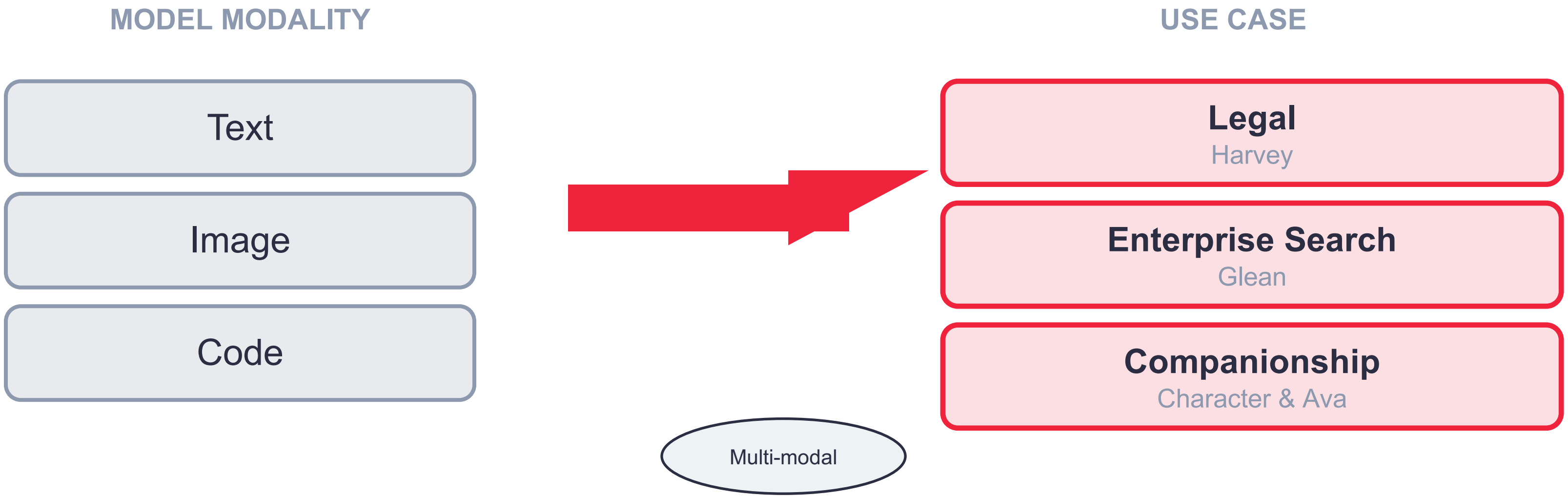
- Foundation models as a piece of comprehensive solution
- New editing interfaces (stickier workflows)
- Multi-modal workflows
- End-to-end problem solving

Customer-Back

Examples: Harvey, Glean, Character, Ava

Market Map Reorganized by Use Case, Not Model Modality

The Sequoia generative AI market map now organized by use case — showing evolution from technology hammer to actual value delivery



Increasingly multi-modal nature of applications — value delivery over technology focus

Key Takeaways: What Separates Winners in Act Two

1. **Retention is critical**
   AI-first apps at 14% median vs. 51% for incumbents
2. **Foundation models = component, not whole product**
   Don't build on model alone
3. **Multi-modal, workflow-integrated solutions win**
   End-to-end over wrappers
4. **$1B+ revenue proves real demand**
   Despite hype, real commercial traction exists
5. **Solve end-to-end human problems**
   Companies that do will define Act 2

Act 2 is just beginning